RoundFi

Business Model and B2B Reputation Oracle

Behavioral reputation as financial infrastructure for Solana

The groups generate the behavior. The reputation layer is the product. The B2B oracle is the long-term business model.

1. Executive Summary

RoundFi's business model has three layers:

1. Participation fees from users joining and participating in RoundFi groups.
2. Infrastructure yield from approved yield routes applied to idle capital, where appropriate.
3. B2B reputation APIs / oracle access for protocols and financial applications that need a behavioral credit signal.

The first two layers can help the protocol operate and test early demand. The third layer is the highest-margin long-term opportunity.

RoundFi should not be understood as a standalone ROSCA app. The savings group is the acquisition engine and data-generation mechanism. The end product is a behavioral reputation layer that other financial systems can query.

This model is inspired by the economic logic of credit bureaus and data infrastructure companies: financial decision-makers pay for reliable data that improves underwriting, risk pricing, fraud detection, or customer segmentation. Experian reported FY25 statutory revenue of US$7.523 billion, Equifax reported 2025 revenue of US$6.0745 billion, and TransUnion reported 2025 revenue of US$4.576 billion. These companies show that credit and identity data can support large, recurring B2B revenue streams when the data becomes trusted infrastructure. [5][6][7]

RoundFi's opportunity is not to copy Web2 credit bureaus directly. It is to create a Solana-native behavioral reputation primitive that can be queried before extending on-chain credit.

2. The Business Thesis

DeFi lending is still mostly collateral-based.

A user can be disciplined, consistent, and financially reliable, but if the protocol cannot measure that behavior, the user is treated like everyone else.

RoundFi's thesis is:

> ***Financial discipline can become a reusable on-chain credit signal.***

If a user repeatedly completes real financial commitments, that behavior should reduce how much collateral they need to lock over time.

This creates a new business opportunity:

- users benefit from lower collateral requirements;
- protocols benefit from better underwriting signals;
- fintechs and credit applications benefit from reusable behavioral data;
- RoundFi monetizes the reputation layer that connects these parties.

3. What RoundFi Actually Sells

RoundFi does not primarily sell access to a savings group.

It sells access to behavioral credit intelligence.

The savings group is the mechanism that creates the data.

The product is the reputation generated from that behavior.

The long-term monetizable asset is the oracle/API that makes this reputation readable by other systems.

Product Layers

Layer	What it is	Who uses it	Why it matters
Savings groups	Recurring payment groups on Solana	End users	Generates real behavior under commitment
Reputation score	Portable behavioral credit signal	Users and protocols	Turns discipline into creditworthiness
Reputation oracle/API	Query layer for external systems	Protocols, fintechs, neobanks	Monetizes trusted reputation data

The correct framing is:

> ***RoundFi is a behavioral reputation infrastructure layer disguised as a savings protocol.***

4. Why Users Pay

Users do not pay because they want "reputation" in the abstract.

Users pay because reputation creates a financial benefit.

The user benefit is:

> ***Less collateral required to access credit.***

A DeFi user who wants to borrow capital usually needs to lock significant collateral. RoundFi gives that user a path to reduce collateral requirements by completing recurring payment cycles.

The user motivation is economic self-interest:

- unlock more capital;
- lock less collateral;
- improve borrowing efficiency;
- build portable reputation;
- become more attractive to protocols that price risk.

This matters because the first users are not necessarily the global unbanked population. The first users are likely DeFi participants who already understand capital efficiency and overcollateralization.

5. Why Protocols Pay

Protocols pay when reputation improves underwriting.

A lending protocol, fintech, or credit application may want to know:

- has this wallet completed recurring payment cycles?
- how many cycles were completed on time?
- has the wallet defaulted before?
- how long has the wallet maintained a financial commitment?
- what collateral tier does this wallet qualify for?

RoundFi can become useful when this behavioral data helps protocols:

- reduce risk;
- expand borrower access;
- price loans more accurately;
- differentiate users beyond wallet balance;
- create undercollateralized or lower-collateral products;
- build reputation-aware lending markets.

The API is valuable only if protocols believe the signal is hard to fake and economically meaningful.

That is why RoundFi's groups are important: they force users to create behavior under real commitment instead of simply farming a score from passive wallet activity.

6. The Three-Phase Business Model

RoundFi should be evaluated as a phased business.

Phase 1 - User Acquisition and Behavior Generation

The first phase is the savings-group product.

Users join groups, make recurring contributions, and generate payment history.

Revenue opportunities:

- group participation fee;
- cycle fee;
- small protocol fee on payments;
- selected infrastructure yield.

Purpose:

- acquire users;
- generate behavioral data;
- test retention;
- prove protocol mechanics;
- create the first reputation dataset.

This phase may not be the highest-margin business, but it creates the data that makes the rest possible.

Phase 2 - Reputation Layer

The second phase is the behavioral reputation score.

Users start carrying a portable reputation across the RoundFi ecosystem.

Revenue opportunities:

- reputation passport features;
- premium user analytics;
- partner integrations;
- reputation-based credit access.

Purpose:

- prove that recurring payments produce a useful underwriting signal;
- create tiers such as 50%, 30%, and 10% collateral;
- validate whether users care enough about lower collateral to participate.

Phase 3 - B2B Reputation Oracle

The third phase is the long-term business model.

External protocols and financial applications query RoundFi reputation before extending credit or adjusting collateral requirements.

Revenue opportunities:

- per-query API fees;
- subscription plans for protocols;
- enterprise access tiers;
- risk analytics dashboards;
- custom underwriting integrations;
- partner revenue share.

Purpose:

- monetize reputation as infrastructure;
- make RoundFi useful beyond its own groups;
- turn a user behavior engine into a Solana-native credit data layer.

7. Revenue Streams

7.1 Participation Fees

Participation fees are the most immediate revenue stream.

They can be charged when users join a group or complete a cycle.

The fee should remain small enough that it does not destroy the user incentive. The user should feel that paying the fee is justified because the reputation gained can reduce future collateral needs.

Potential forms:

- fixed group entry fee;
- small percentage fee on contributions;
- small fee on successful payout;

- tiered fees depending on reputation level.

Strategic role:

- supports early protocol operations;
- tests willingness to pay;
- funds development and monitoring;
- validates demand for reputation-building.

7.2 Infrastructure Yield

RoundFi may route idle float through approved yield infrastructure.

This is an auxiliary revenue layer, not the core thesis.

The current architecture includes yield adapters, including mock and Kamino-style adapters. The yield waterfall routes harvested yield through defined buckets, including a protocol fee, reserve logic, liquidity provider share, and participant share. The yield-and-guarantee documentation describes this as a deterministic waterfall with strict accounting. [3]

Potential forms:

- performance fee on harvested yield;
- protocol fee on yield routing;
- partner revenue share with yield venues;
- treasury allocation from yield-derived flows.

Strategic role:

- improves capital efficiency;
- creates additional protocol revenue;
- supports reserve mechanisms;
- makes the pool economically more attractive.

Limitation:

RoundFi should not depend on high APYs to work. Yield is a supporting layer, not the reason the protocol exists.

7.3 Reputation API / Oracle Fees

This is the most important long-term revenue stream.

Protocols and financial applications pay to read behavioral reputation.

Potential pricing models:

Model	Description	Best for
Per-query fee	Protocol pays each time it checks a wallet score	DeFi-native integrations
Monthly subscription	Fixed recurring fee for API access	Fintechs and neobanks
Usage tiers	Free developer tier, paid growth tier, enterprise tier	Broad ecosystem adoption
Enterprise integration	Custom scoring and underwriting integration	Regulated financial partners
Revenue share	RoundFi earns when reputation enables a credit transaction	Lending protocols

The API can expose:

- wallet score;
- collateral tier;
- cycle completion count;
- default history;
- payment punctuality;
- reputation level;
- confidence level;
- attestation references;
- risk flags.

The API should not expose unnecessary personal data.

RoundFi's B2B product should be reputation infrastructure, not surveillance infrastructure.

8. Business Model Flywheel

RoundFi's long-term defensibility comes from a data flywheel.

Users join groups

↓

Recurring payments create attestations

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Attestations build reputation

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Reputation reduces collateral

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Lower collateral attracts more users

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More users create more behavioral data

↓

More data makes the oracle more useful

↓

More protocols integrate the oracle

↓

More integrations increase user value

This is the core network effect.

The data becomes more useful as more users create more verified behavior.

The user experience becomes more valuable as more protocols accept the reputation.

The protocol becomes more defensible as external systems begin depending on the score.

9. Why This Can Become Infrastructure

Credit infrastructure becomes valuable when it helps others make better decisions.

Traditional credit bureaus exist because lenders need data before lending. Experian describes itself as a global data and technology company helping businesses and consumers make better decisions, with FY25 statutory revenue of US$7.523 billion. [5]

Equifax reported 2025 revenue of US$6.0745 billion and describes its role as helping financial institutions, companies, employers, and government agencies make decisions with greater confidence. [6]

TransUnion reported 2025 revenue of US$4.576 billion and highlighted growth in financial services, credit, marketing, and fraud solutions. [7]

These examples do not prove RoundFi will become a bureau. They prove that trusted credit and identity data can be monetized as infrastructure.

RoundFi's opportunity is to create a crypto-native version of this logic:

> ***a portable behavioral credit layer for on-chain finance.***

10. Why This Belongs on Solana

RoundFi requires recurring participation.

Recurring participation requires low transaction costs and fast confirmation.

Solana is well suited for this because the protocol needs:

- frequent user actions;
- cheap payment cycles;
- composability with DeFi protocols;
- wallet-based user flows;
- attestation infrastructure;
- yield adapters;
- high-throughput experimentation.

RoundFi's B2B oracle also benefits from Solana composability. If reputation is readable across protocols, then lending markets, wallets, dashboards, and fintech interfaces can integrate it without rebuilding the full behavior-generation system.

The business model becomes stronger if reputation is not trapped inside RoundFi.

The score must be portable.

11. Initial Customer Segments

11.1 End Users

Initial users are DeFi participants who want better capital efficiency.

They care about:

- borrowing with less collateral;
- building reputation on-chain;
- unlocking higher credit access;
- proving reliability without a bank account;
- using financial behavior as leverage.

11.2 DeFi Protocols

DeFi protocols may use RoundFi reputation to:

- adjust collateral requirements;
- design lower-collateral products;
- segment borrower risk;
- improve credit models;
- create reputation-aware pools.

11.3 Wallets and Consumer Apps

Wallets and consumer apps may use RoundFi reputation to:

- show credit readiness;
- recommend financial actions;
- help users graduate reputation tiers;
- connect users with lending opportunities.

11.4 Fintechs and Neobanks

Fintechs and neobanks may eventually use RoundFi as an alternative behavioral data layer, especially for users with limited formal credit history.

This is longer-term and requires more regulatory, data privacy, and compliance work.

12. Pricing Strategy

RoundFi should avoid overcommitting to final pricing before partner validation.

The right strategy is to define a pricing architecture, not fixed final numbers.

User Layer

Possible pricing:

- small entry fee;
- small cycle fee;
- fee waived or reduced for higher reputation tiers;
- incentive-aligned fee only on successful completion.

Goal:

- avoid user friction;
- keep participation attractive;
- tie fees to clear value.

Protocol Layer

Possible pricing:

- free sandbox API;
- paid per-query tier;
- monthly protocol plan;
- custom enterprise integration;
- revenue share on loans enabled by RoundFi score.

Goal:

- make it easy to test;
- charge when the score affects real decisions;
- align RoundFi revenue with partner value.

Enterprise Layer

Possible pricing:

- implementation fee;
- annual contract;
- support package;
- compliance review add-on;
- custom analytics fee.

Goal:

- monetize deeper integrations without slowing DeFi-native adoption.

13. Unit Economics Framework

RoundFi should model economics around a few variables.

User-Side Variables

- number of active groups;
- members per group;
- average contribution size;
- completed cycles;
- protocol fee rate;
- churn/default rate;
- cost of incentives.

Yield Variables

- average idle float;
- yield rate;
- protocol performance fee;
- reserve allocation;
- volatility of APY.

API Variables

- number of protocol partners;
- score queries per month;
- conversion from query to loan;
- revenue per query;
- monthly subscription rate;
- enterprise contract value.

Cost Variables

- infrastructure hosting;
- indexing and RPC costs;
- security monitoring;
- audits;
- legal/compliance;
- business development;
- user acquisition.

The most important principle:

> ***Phase 1 should not be evaluated only on direct fees. Its primary job is to generate trusted behavioral data.***

14. What Must Be Proven Next

The business model becomes credible only if RoundFi proves five things.

1. Users complete cycles

The protocol must show that users are willing to make recurring payments over time.

2. Reputation changes behavior

Users must care enough about reputation to avoid default and complete cycles.

3. Lower collateral is a strong enough incentive

Users must believe the future benefit is worth the recurring commitment.

4. Protocols trust the score

External protocols must be willing to consume the reputation signal.

5. API demand exists

At least one protocol, fintech, or lending partner must validate the value of querying RoundFi reputation.

For the hackathon stage, the goal is not to prove all five completely.

The goal is to prove the architecture, the mechanism, and the plausibility of the business model.

15. Current Status

RoundFi is currently in hackathon-stage validation.

Shipped / Demoable Today

- Functional prototype
- Live front-end demo
- Open-source repository
- Solana Devnet deployment
- Stress Lab simulations
- Core protocol architecture
- App-to-chain flows for selected actions
- Solscan-verifiable activity

Implemented / Under Verification

- Expanded protocol surface
- Economic parity testing
- Reputation lifecycle testing
- Indexer foundation
- Security hardening

Roadmap

- Production-grade SAS issuance
- Full production indexer
- B2B reputation oracle API
- Mainnet beta
- External audit
- First protocol partnerships
- Enterprise integrations

The B2B oracle is not presented as fully shipped today.

It is the Phase 3 business model enabled by the reputation data produced in Phase 1 and Phase 2.

16. Moat and Defensibility

RoundFi's defensibility does not come from code alone.

Smart contracts can be copied.

The defensibility comes from the accumulated behavioral dataset and partner trust.

Data Moat

Every completed payment cycle creates more behavioral data.

Over time, this dataset becomes harder to replicate because it requires real users, real cycles, and real commitment.

Network Moat

The score becomes more valuable as more protocols read it.

The more protocols accept the score, the more users want to build it.

Integration Moat

A protocol that integrates RoundFi reputation into risk parameters creates switching costs.

Trust Moat

For a reputation oracle, correctness matters more than feature count.

A reputation layer becomes defensible when protocols trust its methodology, auditability, and anti-gaming rules.

17. Risks and Mitigations

Risk	Description	Mitigation
Cold-start risk	The oracle has limited value before enough users generate behavior	Start with user-facing groups and internal credit utility
Partner adoption risk	Protocols may not trust the score initially	Start with pilots, sandbox APIs, transparent scoring, and auditability
Regulatory risk	Credit and savings-group mechanics may be regulated in some markets	Keep current scope as protocol infrastructure; seek legal counsel before mainnet expansion
Sybil/gaming risk	Users may try to farm reputation	Require recurring commitments, capital at risk, cooldowns, and default penalties
Yield dependency risk	High APYs may not persist	Treat yield as auxiliary, not core to the thesis
Data privacy risk	Reputation data may create privacy concerns	Minimize personal data; focus on wallet-level behavioral attestations
Execution risk	Mainnet credit protocols require high security	External audit and phased mainnet rollout required

18. Recommended Go-To-Market for the Business Model

Step 1 - Prove the user loop

Show that users understand:

> ***complete payment cycles -> build reputation -> reduce collateral.***

Step 2 - Prove the scoring loop

Show that payment history creates a clear reputation tier.

Step 3 - Prove partner interest

Secure conversations, LOIs, pilots, or test integrations with Solana DeFi teams, fintechs, wallets, or lending products.

Step 4 - Launch sandbox oracle

Expose a developer-friendly API for score reads.

Step 5 - Monetize active integrations

Charge when the score is used in real credit decisions.

19. Success Metrics

RoundFi should track metrics by phase.

Phase 1 Metrics

- active groups;
- active members;
- completed cycles;
- on-time payment rate;
- default rate;
- repeat participation;
- average collateral tier.

Phase 2 Metrics

- reputation profiles created;
- attestations issued;
- score distribution;
- level transitions;
- percentage of users reaching lower collateral tiers;
- retention by reputation tier.

Phase 3 Metrics

- API partners;
- API calls per month;
- score queries per wallet;
- credit decisions influenced;
- revenue per partner;
- retention of B2B customers;
- integrations using RoundFi score in production.

20. Conclusion

RoundFi's business model is strongest when the project is understood as reputation infrastructure, not as a savings-group app.

The groups generate behavior.

The behavior generates reputation.

The reputation reduces collateral.

The reputation oracle monetizes the data layer.

This makes RoundFi a potential behavioral credit primitive for Solana.

The immediate opportunity is to help DeFi users unlock capital efficiency.

The long-term opportunity is to become a trusted behavioral reputation oracle for protocols and financial applications.

21. One-Sentence Summary

RoundFi monetizes recurring financial behavior by turning it into portable on-chain reputation that users use for lower collateral and protocols query through a B2B reputation oracle.

22. Related Documents

- `01-roundfi-overview.md`
- `04-behavioral-reputation-score.md`
- `05-stress-lab-economic-model.md`
- `06-market-and-gtm.md`
- `08-competitive-analysis.md`
- `09-risk-and-compliance.md`
- `11-devnet-status-and-proof.md`

23. References

[1] RoundFi GitHub README - project thesis, mechanics, phases, repository structure.

https://github.com/alrimarleskovar/RoundFinancial

[2] RoundFi Project Status - shipped vs roadmap, devnet status, current execution register.

https://github.com/alrimarleskovar/RoundFinancial/blob/main/docs/status.md

[3] RoundFi Yield Waterfall and Guarantee Fund - yield adapter, waterfall, guarantee fund framing.

https://github.com/alrimarleskovar/RoundFinancial/blob/main/docs/yield-and-guarantee-fund.md

[4] RoundFi Devnet Deployment Record - program IDs, deployment transactions, devnet evidence.

https://github.com/alrimarleskovar/RoundFinancial/blob/main/docs/devnet-deployment.md

[5] Experian FY25 Results - global data and technology company, FY25 revenue and B2B/consumer services growth.

https://www.experianplc.com/newsroom/press-releases/2025/full-year-results-fy25

[6] Equifax Q4 and Full-Year 2025 Results - 2025 revenue and credit/data infrastructure market context.

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https://newsroom.transunion.com/transunion-announces-strong-fourth-quarter-and-full-year-2025-result/

[8] ABAC 2025 Consortium Market Data - R$500.27 billion in commercialized credits and 12.76 million active participants in Brazil's consortium system.

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End of document